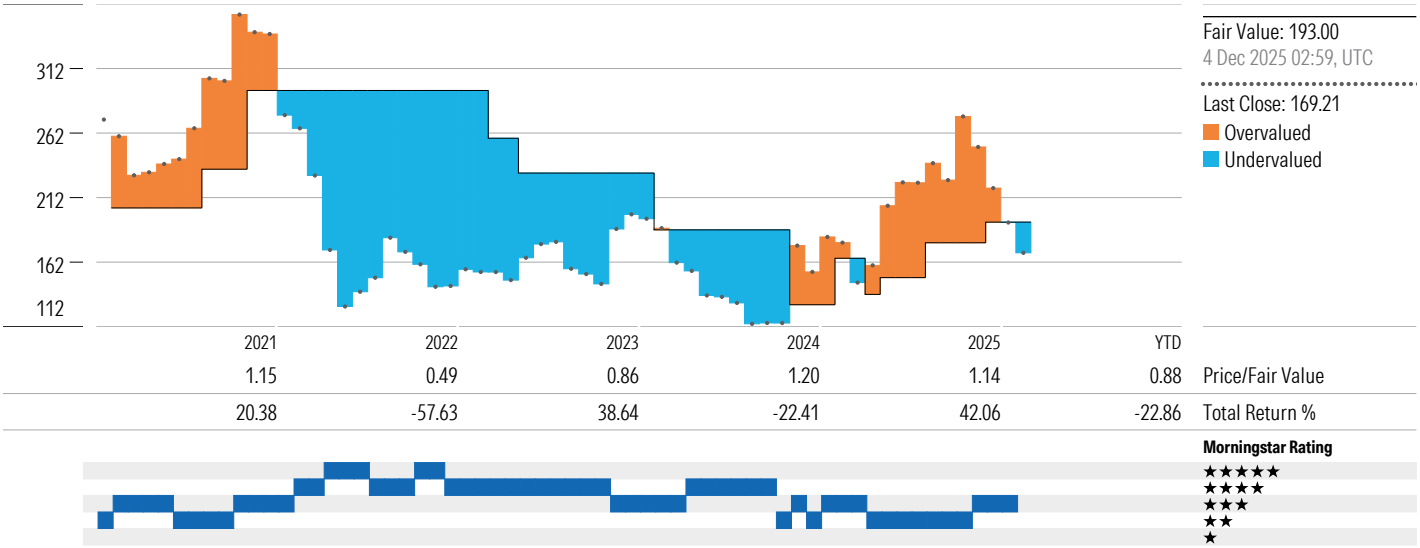
Snowflake Inc Ordinary Shares SNOW ★★★ 25 Feb 2026 23:01, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
169.21 USD 25 Feb 2026	193.00 USD 4 Dec 2025 08:59, UTC	0.88	57.90 USD Bil 25 Feb 2026	None	Mid Growth	Very High	Standard	7 Jan 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
Price/Fair Value	1.15	0.49	0.86	1.20	1.14	0.88	
Total Return %	20.38	-57.63	38.64	-22.41	42.06	-22.86	

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 4 Dec 2025 02:59, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Snowflake Earnings: Promise of AI Is Real for Integrated Data Platforms; Shares Undervalued

Analyst Note Luke Yang, CFA, Equity Analyst, 26 Feb 2026

Snowflake's fourth-quarter results easily topped guidance, with revenue growth accelerating to 30% and bookings growth accelerating to 42%. We believe artificial intelligence-related demand is the primary driver behind the company's recent outperformance.

Why it matters: When enterprise customers want to leverage AI's power to unlock proprietary data insight, Snowflake's fully-managed development suite can come in handy. Tools such as Cortex AI benefit from their proximity to data, which allows rapid iteration of enterprise AI prototypes.

- Snowflake customers' interest in data-driven AI applications is much stronger than we expected. Nearly 70% of Snowflake customers are using the platform's AI features, with almost 20% leveraging Snowflake Intelligence, which became generally available only four months ago.
- We surmise the broad-based AI tailwind is also benefiting competitive offerings like Databricks' Agent Bricks or Google Vertex AI. In other words, healthy growth momentum does not necessarily earn Snowflake a more favorable position in the enterprise data platform market.

The bottom line: We raise our fair value estimate for no-moat Snowflake to $223 per share, from $193 previously, based on a more optimistic growth outlook from AI-induced demand. We think fear around AI's disruption to database infrastructure is unjustified, leaving Snowflake shares undervalued.

- With Snowflake landing its largest deal in history of over $400 million, we see a clear sign that the

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Sector Technology

Industry Software - Application

Business Description

Founded in 2012, Snowflake is a fully managed platform that consolidates data hosted on different public clouds for centralized analytics and governance. Snowflake's cloud-native architecture allows users to independently scale the compute and storage layers, providing customers with optimized performance at lower costs. The company's data lake and data warehouse products support a variety of use cases, including business analytics, data engineering, and artificial intelligence. Snowflake is widely used by Fortune 2000 companies in financial services, media, and retail sectors.

company is enjoying higher switching costs. Continued expansion of account size is a prerequisite for Snowflake to develop an economic moat.

- Net revenue retention remained stable at 125% for the third consecutive quarter, boosting our confidence that the company can deliver five-year annualized revenue growth of 24%.

Coming up: For fiscal 2027, management guided a product revenue growth of 27% and a non-GAAP operating margin of 12.5%, both of which came slightly ahead of our expectations.

Business Strategy & Outlook Luke Yang, CFA, Equity Analyst, 26 Feb 2026

Snowflake is a leading data platform that helps enterprises create a single source of truth out of data stored across various public clouds. By separating computing from storage, Snowflake's core data warehouse and data lake products provide superior scalability at a lower cost compared with on-premises solutions, aligning the companies' offerings with the value proposition hyperscalers can offer. We think data platforms like Snowflake have already become one of the must-have tools in the public cloud ecosystem.

Snowflake should see high future revenue growth and outstanding net revenue retention, or NRR, as clients put more data-related work on the platform. Although it is not atypical for fast-growing software companies to have a high NRR, new AI-related data applications should stabilize Snowflake's NRR at around 120% in the near term. Supporting the open-source Iceberg table format is Snowflake's initial step to expand its addressable market by allowing users to directly query data stored outside of Snowflake. This move expands the total volume of data Snowflake can access, making it closer to an all-in-one data platform offering.

We expect the high competition across different enterprise data platforms to continue. Leading solutions like Snowflake, Databricks, and Google BigQuery are built on different underlying technologies, and each has its optimized use cases. All products are aiming to become a one-stop shop for enterprises' data needs. At the moment, we don't think there is a clear winner among the top data platform solutions, and the intense competition could take a toll on Snowflake's future margin expansion.

Bulls Say Luke Yang, CFA, Equity Analyst, 26 Feb 2026

- The total addressable market of data warehouse and data lake should experience double-digit annual growth over the next decade, and Snowflake is one of the leaders in the segment.
- Snowflake's addition of machine learning and artificial intelligence functionalities should incentivize existing customers to put more data workflows on the platform.
- Snowflake's best-in-class user experience should attract organizations that do not have robust internal IT expertise but still want to modernize its data infrastructure.

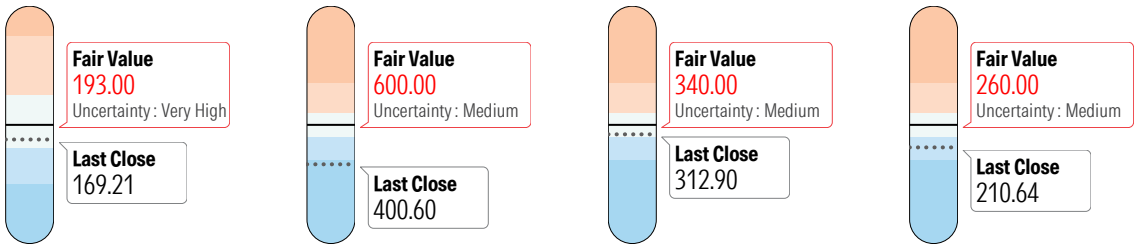
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Competitors



	Snowflake Inc Ordinary Shares SNOW	Microsoft Corp MSFT	Alphabet Inc Class A GOOGL	Amazon.com Inc AMZN
Economic Moat	None	Wide	Wide	Wide
Currency	USD	USD	USD	USD
Fair Value	193.00 4 Dec 2025 02:59, UTC	600.00 31 Jul 2025 03:51, UTC	340.00 30 Oct 2025 03:05, UTC	260.00 31 Oct 2025 03:40, UTC
1-Star Price	337.75	810.00	459.00	351.00
5-Star Price	96.50	420.00	238.00	182.00
Assessment	Fairly Valued 25 Feb 2026	Undervalued 25 Feb 2026	Fairly Valued 25 Feb 2026	Undervalued 25 Feb 2026
Morningstar Rating	★★★25 Feb 2026 23:01, UTC	★★★★★25 Feb 2026 22:33, UTC	★★★25 Feb 2026 22:34, UTC	★★★★25 Feb 2026 22:34, UTC
Analyst	Luke Yang, Equity Analyst	Dan Romanoff, Senior Equity Analyst	Malik Ahmed Khan, Senior Equity Analyst	Dan Romanoff, Senior Equity Analyst
Capital Allocation	Standard	Exemplary	Exemplary	Exemplary
Price/Fair Value	0.88	0.67	0.92	0.81
Price/Sales	12.03	9.39	9.46	3.10
Price/Book	25.27	7.31	9.07	5.36
Price/Earning	—	25.36	34.23	34.92
Dividend Yield	0.00%	0.87%	0.27%	0.00%
Market Cap	57.90 Bil	2,974.71 Bil	3,785.15 Bil	2,261.20 Bil
52-Week Range	120.10—280.67	344.79—555.45	140.53—349.00	161.38—258.60
Investment Style	Mid Growth	Large Blend	Large Blend	Large Blend

Bears Say Luke Yang, CFA, Equity Analyst, 26 Feb 2026

- Competition with Databricks' and hyperscalers' data warehouse products continues to intensify, leading to heavy marketing and R&D pressure for Snowflake.
- Snowflake's speed of gaining new logos can slow down as the company shifts its focus to incremental consumption from existing customers, limiting the monetization potential of Snowflake Marketplace.
- Snowflake's valuation is demanding. Any slowdown in growth could be devastating to the valuation.

Economic Moat Luke Yang, CFA, Equity Analyst, 26 Feb 2026

We assign Snowflake a no moat rating since the company's revenue is not yet at a scale that can support continuous expansion investments and high return on invested capital at the same time. If Snowflake can maintain a healthy growth momentum over the next few years, we believe its robust data ecosystem can eventually earn the company an economic moat as return on invested capital gradually

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improves.

Snowflake is one of the top data platforms on the market, boasting a net retention rate of around 125%. In recent years, the company has dramatically expanded its AI-embedded data offerings beyond the traditional data warehouse and data lake products. New AI-related business opportunities give Snowflake an opportunity to lock in its customers in and maintain a very high net retention rate for an extended period of time.

Snowflake is a pioneer in providing a cloud-agnostic, out-of-the-box data lake and data warehouse solution. Public clouds operated by hyperscalers significantly lowered the cost of computing and data storage. Enterprises can now afford to store massive amounts of data in public clouds for further query and analysis, which gave rise to data lakes and data warehouses. Data lakes are centralized depositories that store raw data to be processed later, and data warehouses store structured data ready for analytics. Together, they form the backbone of online analytical processing, or OLAP, database systems that enable efficient data analytics. OLAP databases run in parallel with online transactional processing, or OLTP, databases, such as Oracle and MongoDB, that handle real-time recordkeeping of companies' day-to-day operations.

We think OLAP represents a more attractive opportunity than OLTP in the database market because the possibility of data analytical projects is literally endless. With AI, it is easier than ever to process vast amounts of business data to derive original insights. Despite the vast market potential, the OLAP database market also sees the highest competition. Snowflake, Databricks, and Google Cloud are currently in the leading position, with Microsoft Azure and Amazon Web Services closely following behind. The competitive dynamic is quite different from the OLTP market, where Oracle and MongoDB have a dominant position in the SQL and NoSQL categories, respectively.

Given that AI has unlocked so many more analytical use cases, there should be sufficient room for all players to expand in the foreseeable future. We estimate that the market size for OLAP databases can eventually reach hundreds of billions of dollars, and we would not be surprised if there are multiple data platforms generating over $10 billion in annual revenue in five years. Existing Snowflake customers are unlikely to move their data analytical work to another platform since they are already on one of the industry-leading product with all kinds of AI expandability they may need. There is also ample black market space for Snowflake and its competitors to capture, ensuring healthy long-term growth.

We see a clear path where Snowflake's AI products can grow the company's annual revenue beyond $10 billion. Snowflake Intelligence is the company's latest LLM-powered product that allows users to query data with natural language instead of SQL. It is a perfect example of how Snowflake can turn the ever-growing capabilities of LLMs into new revenue growth points. Besides first-party solutions,

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Snowflake also provides various tools for data engineers to build applications or machine learning models with data that lives on the Snowflake platform. Feature sets like Cortex AI should enhance the switching costs clients face once the applications living on Snowflake data get deployed and become a part of the company's workflow.

Furthermore, developers can distribute their Snowflake Native apps on Snowflake Marketplace. Adding data apps to Snowflake Marketplace benefits customers due to faster app deployment and easier data access, and it also brings monetization opportunities to developers. Therefore, we see the potential for a two-sided network effect between users and developers as Snowflake's data app ecosystem continues to grow. That said, it will take time for the network effect to grow and start to support Snowflake's economic moat.

Fair Value and Profit Drivers Luke Yang, CFA, Equity Analyst, 26 Feb 2026

Our fair value estimate for Snowflake is $223 per share, which implies a fiscal 2027 enterprise value/sales multiple of 13 times. We expect Snowflake to achieve a five-year compound annual growth rate of 24%, driven by both its core data lake and data warehouse products and the ever-growing AI portfolio. In our view, it will take decades for Snowflake and other data platform vendors to fully penetrate the data infrastructure market, as it takes time to set up a new enterprise system and configure the ecosystem surrounding it. As customer utilization continues to climb, Snowflake and its competitors should enjoy an extended growth runway beyond the next decade.

We think the OLAP database market can eventually grow to hundreds of billions of dollars in size, given data's crucial role as an ingredient for AI. Incremental consumption from existing customers should serve as the main driver of Snowflake's revenue growth, as they bring more data to the platform and develop AI-powered applications using data in the Snowflake ecosystem.

We believe Snowflake's margin will expand quickly as the company gains scale, with gross margin rising 10 percentage points over the next 10 years. We expect to see a positive GAAP operating margin and net profit margin for the first time in fiscal 2031, and they should continue to expand afterward, reaching 21% and 18%, respectively, by fiscal 2036. We estimate a similar trend for the adjusted operating margin, which should increase from 11% in fiscal 2026 to 38% in fiscal 2036.

Risk and Uncertainty Luke Yang, CFA, Equity Analyst, 26 Feb 2026

We assign Snowflake a Very High Morningstar Uncertainty Rating because we believe the data warehouse and data lake competitive landscape can change very quickly. Although Snowflake is one of the leading data platform solutions today, there is no guarantee that the company can keep its leadership as the market continues to evolve over the next few decades.

We think Snowflake's relationship with hyperscalers is becoming trickier as the company grows into a

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well-known brand in the database field. Over the years, Snowflake has formed a “frenemy” relationship with Amazon Web Services, Microsoft Azure, and Google Cloud. Public cloud operators need third-party offerings like Snowflake to enhance their marketplace ecosystems and reinforce their network effects. Snowflake also relies on the cloud infrastructure provided by hyperscalers to operate its business. Currently, all hyperscalers are focusing on securing AI hardware for large language model training. However, the expanded market opportunity in analytical databases can attract their attention when they have more capacity. Additional efforts to expand their in-house data platform offerings might threaten the future growth trajectory of Snowflake.

Part of Snowflake’s success today is built on public cloud users’ demand to break down data silos in a multicloud context. However, we think hyperscalers are pushing for better connectivity across different service providers, making it easier for enterprise clients to adopt first-party data platform solutions rather than seeking for a third-party platform for centralized data management. We see early signs of this trend for an open data ecosystem with the rise of Apache Iceberg, a tool that lowers the barrier for users to manage and interact with data across different systems. While it requires tremendous coordination among hyperscalers to adopt a unified data query, it is a potential risk that long-term investors of Snowflake should keep in mind.

Capital Allocation Luke Yang, CFA, Equity Analyst, 26 Feb 2026

We give Snowflake a Standard Morningstar Capital Allocation Rating. This rating reflects our assessments of a sound balance sheet, fair investments, and appropriate shareholder distributions.

We think Snowflake’s balance sheet is sound thanks to a very low debt load. In addition, business intelligence and business analytics have already become a crucial part of executives’ decision-making process. Although companies can scale back projects during economic downturns, we believe the revenue cyclicality should be moderate for Snowflake, similar to other enterprise software companies.

Snowflake mainly relies on internal R&D for its product development, and the company has a limited history of making investments and acquisitions. Most companies Snowflake has acquired had a price tag of below $200 million. We believe there is high synergy between Snowflake’s acquired companies and its existing offerings, as they usually bring capabilities that are hard to develop internally within a reasonable timeframe, such as Crunchy Data’s PostgreSQL implementation. Given the company’s high R&D spending, organic growth should remain Snowflake’s main focus, and we don’t expect to see any large-scale acquisitions before Snowflake further improves the quality of its cash flow profile in the 2030s.

Snowflake initiated its first stock-repurchase program in February 2023. We believe stock repurchases are an important part of Snowflake’s overall capital allocation plan, considering the company’s heavy use of stock-based compensation. We model an average of over $1.7 billion annual spending on share repurchases for Snowflake each year over the next decade, and these repurchases should help mitigate

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the dilutive effect of stock-based compensation. It can be challenging for Snowflake's stock-repurchase program to add value to shareholders, given the high volatility of the company's stock.

Analyst Notes Archive

Snowflake Earnings: Secular Demand for Data Infrastructure Modernization Drives Solid Growth
Luke Yang, CFA,Equity Analyst,28 Aug 2025

Snowflake's second-quarter year-over-year revenue growth of 31.5% accelerated 530 basis points sequentially, highlighting strong client interest in data infrastructure modernization. Non-GAAP operating margin also expanded 240 basis points sequentially to 11.2%, thanks to efficiency gains. Why it matters: Snowflake's core products continue to benefit from secular investments in artificial intelligence. Constant product innovation, supported by 250 new capability launches over the past six months, ensures that Snowflake remains competitive amid intense competition among analytical databases. Most notably, Snowpark Connect's Apache Spark support should make Snowflake a more attractive choice for computational data workloads, an area in which its rival, Databricks, specializes. As more enterprise customers recognize the potential of agentic AI, data platform suppliers like Snowflake are poised to grow, as analytical databases are a key part of the infrastructure for AI agents. The bottom line: We raise our fair value estimate for no-moat Snowflake to $177 from $150, as we incorporate better-than-expected growth momentum of its data and AI offerings. Shares look overvalued, and we think the market is underestimating the competitive pressure Snowflake faces. Despite acceleration in total customer count growth, Snowflake hired more salespeople in the past two quarters than the prior two years combined. We believe Snowflake's execution of its go-to-market strategy is key to competing with Databricks and data platforms from hyperscalers. We like the continuous growth of data sharing on Snowflake Marketplace. 40% of customers are now exchanging their data, which brings Snowflake a step closer toward building an ecosystem that embodies network effects. Coming up: Management increased its product revenue guidance for fiscal 2026 by $70 million to $4.395 billion. Non-GAAP operating margin guidance was also up 100 basis points to 9%, reflecting better operating leverage.

Snowflake: Investor Day Product Updates Enhance Competitiveness of Core Data Warehouse Offerings Luke Yang, CFA,Equity Analyst,4 Jun 2025

No-moat Snowflake announced several new products in data engineering, analytics, and artificial intelligence during its 2025 investor day. The company is also acquiring Crunchy Data, a cloud-hosted PostgreSQL database startup, for $250 million to expand its relational database capabilities. Following a period of heavy buildup in artificial intelligence, we are glad to see the company pivoting back to its core data warehouse product. These new products should significantly improve Snowflake's query performance and address key pain points for customers. We are maintaining our $150 fair value estimate for now, as we still need more quantitative evidence to understand the potential growth

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trajectories of these new offerings. Shares currently look overvalued to us.Among the new products, we are particularly excited about Snowflake's introduction of Standard Warehouse Generation 2 and Adaptive Compute warehouse. This marks a strategic shift in Snowflake's approach to data warehouse development, emphasizing query efficiency over storage efficiency. Adaptive Compute is an extension of the Generation 2 warehouse that automatically adjusts the computational resources required for data queries, streamlining warehouse management for users. Altogether, these new offerings should motivate customers to allocate more data workloads to the Snowflake platform, supporting the company's maintainable revenue growth.We continue to believe that competition among data platforms is becoming more intense. Snowflake's $250 million acquisition of Crunchy Data appears to be a direct reaction to Databricks' $1 billion acquisition of Neon, announced in May 2025. Crunchy Data and Neon offer enterprise-grade PostgreSQL solutions, facilitating the use of existing structured data for enterprises to develop AI agents. While Snowflake is under significant pressure to enhance its capabilities, its consistent track record of delivery positions the company favorably for long-term competition.

Snowflake Earnings: Solid Start to Fiscal 2026 Positions the Company Favorably for Competition

Luke Yang, CFA,Equity Analyst,22 May 2025

No-moat Snowflake delivered a solid start to fiscal year 2026, with revenue growing 26% and remaining performance obligations up 34% compared with a year earlier. The company continues to benefit from the adoption of open table formats and increased queries for artificial intelligence-related data analytics. We lift our fair value estimate to $150 per share from $137, based on a more optimistic revenue outlook supported by healthy demand for Snowflake's user-friendly data processing capabilities. However, we still think Snowflake faces pressure to maintain its high growth and justify its valuation in a competitive environment. Shares currently look overvalued to us.First-quarter revenue of $997 million beat the higher end of Snowflake's previous guidance. Macroeconomic factors had little impact on performance, with the firm adding 451 new customers over the past quarter. The net revenue retention rate remained high at 124%, demonstrating Snowflake's existing customers' strong incremental consumption as the platform embraces the open-source Iceberg table format. Management also pointed out favorable adoption trends of new products, such as Snowpark and dynamic tables, that are contributing to the quarter's outperformance. We view the strength in new product attachment as a crucial element for Snowflake to stay competitive in the data lake and data warehouse market.Despite Snowflake's progress with top-line growth, its magnitude of margin expansion was smaller than we expected. Its cost of product revenue and sales and marketing expenses as a percentage of revenue remained roughly flat over the past year. In addition, total headcount increased 5% quarter to quarter, a significant increase in hiring compared with the previous few quarters. We recognize the vast market opportunities in front of Snowflake, but we also believe improved operational efficiency could better prepare the company to weather any uncertainties in the

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Snowflake Inc Ordinary Shares SNOW ★★★ 25 Feb 2026 23:01, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
169.21 USD 25 Feb 2026	193.00 USD 4 Dec 2025 08:59, UTC	0.88	57.90 USD Bil 25 Feb 2026	None	Mid Growth	Very High	Standard	7 Jan 2026 06:00, UTC

current economic environment.

Snowflake: Reaffirming No-Moat Rating as Competition Between Data Platforms Intensifies Luke Yang, CFA,Equity Analyst,14 Apr 2025

We are transferring coverage of Snowflake and maintaining the company's no-moat rating. Snowflake is one of the leading data warehouse and data lake solutions that help enterprises consolidate data across different public clouds into a single source of truth. We think the competition among different data platforms is getting intense, and we are lowering our fair value estimate to $137 per share from $165 as we adjust our revenue and margin forecasts to reflect Snowflake's heavy investment pressure to keep its product competitive. We believe shares are approximately fairly valued.We think online analytical processing database systems, namely Snowflake, should eventually become an essential part of the enterprise IT tech stack. However, it is too early to call out Snowflake as a winner as there is still much growth runway for all the players in the market, including Databricks and the three major hyperscalers. Although Snowflake's net retention rate, or NRR, of 126% is among the highest in our software coverage, we don't see it as a good proxy of the company's switching cost now, as the market is still relatively young. We view the high NRR as a shared trait of data platform companies at this stage, given that Databricks, Snowflake's main competitor, boasts NRR above 140% as of January 2024. To warrant Snowflake a narrow moat based on switching costs, we need stronger evidence that Snowflake has become highly critical, or prohibitively expensive, to replace for certain enterprise data workflows.Incremental consumption from existing customers should remain Snowflake's main growth driver over the next decade, and we model NRR above 113% through fiscal 2035. We see Snowflake actively making an effort to increase customer consumption by revamping its sales compensation plan and supporting the open-source Iceberg table format, and we expect Snowflake to achieve a compound annual growth rate of 22% and 20% over the next five and 10 years, respectively.

Snowflake Earnings: Strong AI Sales and Successful Product Launches Drive Fair Value Up 28% to $165 Eric Compton, CFA,Director,27 Feb 2025

No-moat Snowflake reported strong fiscal 2025 fourth-quarter earnings that beat our top line and profitability expectations. Management unveiled good fiscal 2026 guidance, expecting product revenue growth of 24% and non-GAAP operating margin of 8% on the back of optimism around artificial intelligence sales.The results and outlook were better than we expected, and Snowflake was able to deliver a revenue growth outlook of 20% or more for 2026, which we thought the company needed in order to justify the premium valuation. Therefore, we have raised our intermediate revenue growth and profitability estimates to reflect our increased confidence in Snowflake's ability to capitalize on the unyielding AI demand and ongoing cloud migrations. As a result, we are raising our fair value estimate to $165 per share from $129. The firm's strong performance sent shares up 9% after hours. We see the stock as slightly overvalued compared with our raised valuation, although given our Very High

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Morningstar Uncertainty Rating, shares would be rated at 3 stars.Fourth-quarter revenue came in at $987 million, up 27% year over year and 5% sequentially. Product sales grew 28% year over year due to the strong adoption of the firm's data engineering and AI solutions. Snowflake's ability to identify new workload opportunities continues to impress us, as new products like Snowpark support both strong product attach and large customer acquisition. Remaining performance obligation grew a solid 33% year over year, indicating strong demand for Snowflake's products. While revenue retention declined from 127% to 126% sequentially, this is normal as a software company scales, and the sequential customer and RPO growth of 5% and 20%, respectively, were exceptional. We expect successful new product launches and AI sales to drive above-guidance growth in the near term but anticipate increasing competitive pressures to weather growth over time.

Snowflake Earnings: Raised Guidance Drives Up Stock; FVE Cut to Reflect More Cautious Take Eric Compton, CFA,Director,21 Nov 2024

No-moat Snowflake reported strong third-quarter earnings, with revenue and profitability coming in above guidance. Management now expects fiscal 2025 product revenue growth of 29%, up from the previous guide of 26%. Non-GAAP operating margins are expected to reach 5%, up from the previous guide of 3%, driven by the higher revenue outlook.While overall results were positive, sending shares up 20% after hours at close to $155 per share, we are revisiting our own expectations as we transfer coverage to a new analyst. We have tempered our long-term revenue growth estimates to reflect increasing competition in the industry and the possibility for growth to decelerate once again over the next several years, which was one of the primary worries throughout this year. While the current quarter's results are a data point suggesting that growth can indeed reaccelerate into the mid-20% range, we are not convinced this type of growth can hold for several more years. As a result, our fair value estimate drops to $129 from $187, and we view shares as moderately overvalued following the after-hours pop.Third-quarter revenue came in at $942 million, growing 28% year over year and 8% sequentially. Product sales grew 29% year over year due to growing adoption of the firm's AI solutions, new data engineering features, and improving IT budget conditions, offsetting losses in storage revenue from Iceberg's adoption. In addition to strong customer acquisitions, the firm reported a solid net retention rate of 127%. This was the first time in several years that the metric did not decline sequentially, as Snowflake's cross-selling opportunities and customer base continue to mature. Remaining performance obligations were up 55% from the previous year as the firm continues to identify new workloads. We expect contributions from new products and some momentum in AI offerings to drive above-guidance near-term growth, but we remain wary of how long mid-20% growth can last.

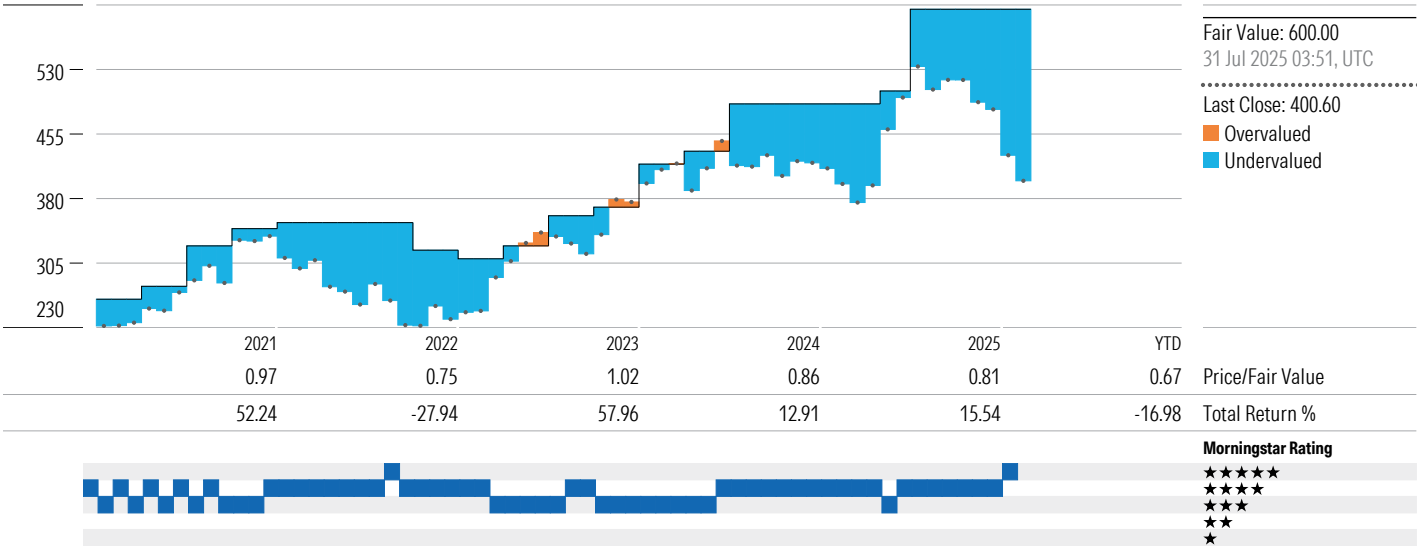
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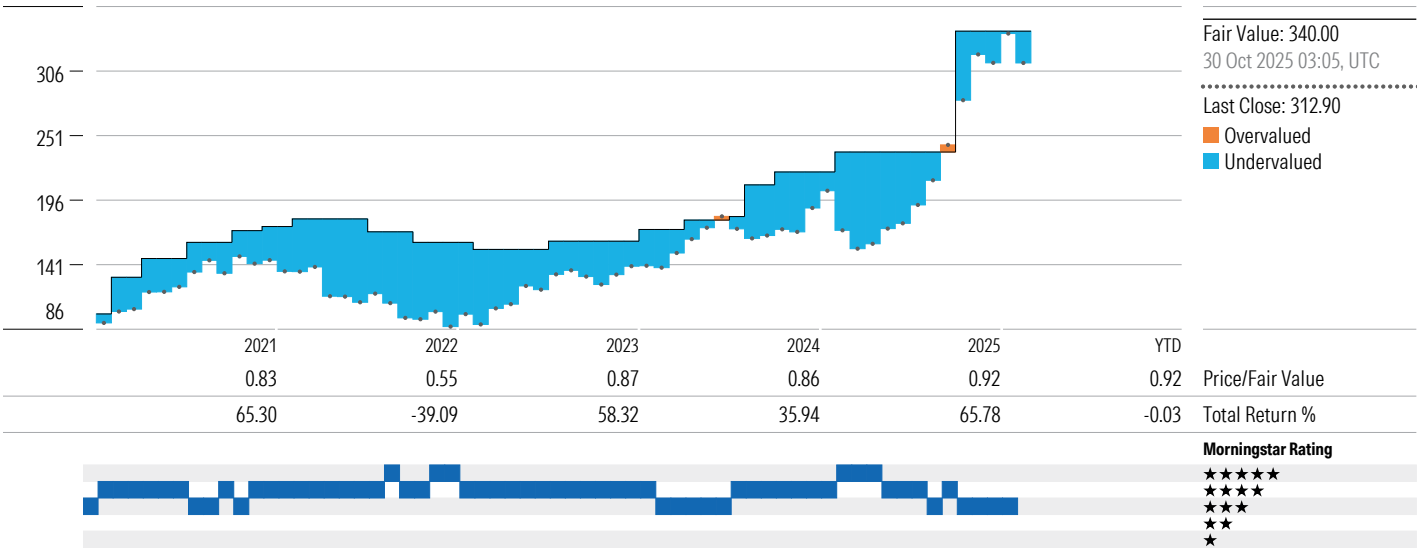
Competitors Price vs. Fair Value

Microsoft Corp MSFT



Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 31 Jul 2025 03:51, UTC.

Alphabet Inc Class A GOOGL



Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 30 Oct 2025 03:05, UTC.

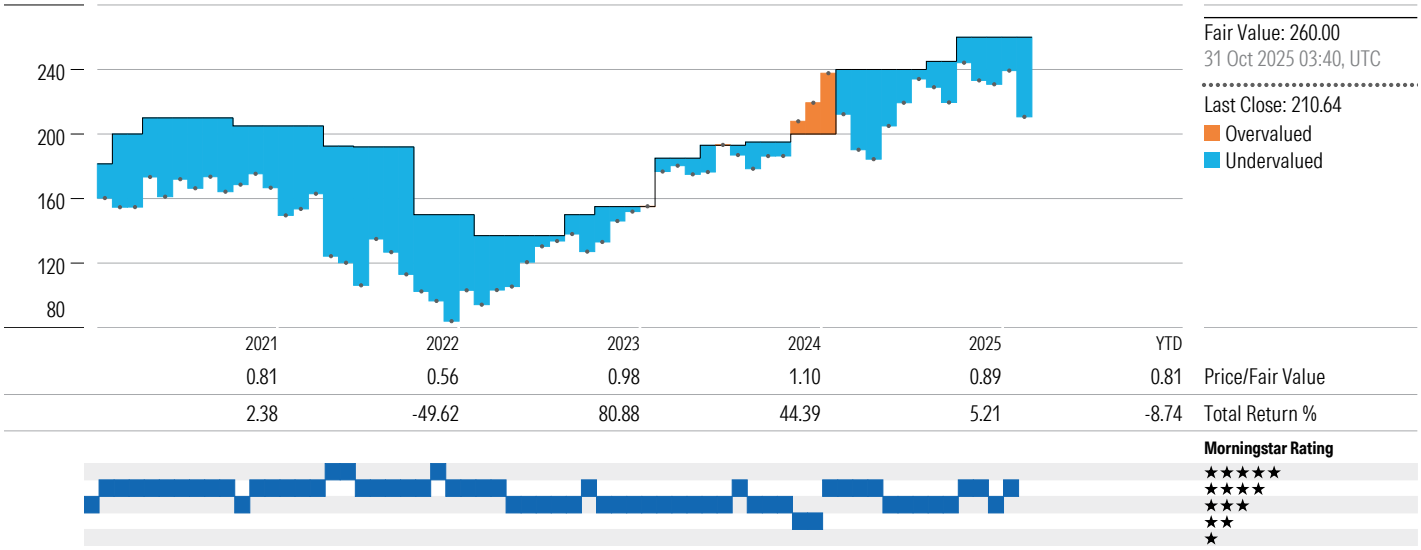
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Competitors Price vs. Fair Value

Amazon.com Inc AMZN



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.81	0.56	0.98	1.10	0.89	0.81
Total Return %	2.38	-49.62	80.88	44.39	5.21	-8.74

Total Return % as of 25 Feb 2026. Last Close as of 25 Feb 2026. Fair Value as of 31 Oct 2025 03:40, UTC.

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Morningstar Valuation Model Summary

Financials as of 25 Feb 2026	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Revenue (USD Mil)	2,806	3,626	4,684	5,950	7,424	9,151	11,142	13,452
Operating Income (USD Mil)	-1,095	-1,456	-1,435	-1,131	-1,024	-853	-410	335
EBITDA (USD Mil)	-975	-1,274	-1,214	-945	-872	-732	-287	473
Adjusted EBITDA (USD Mil)	350	414	711	927	1,198	1,596	2,295	3,298
Net Income (USD Mil)	-840	-1,293	-1,330	-935	-770	-537	-53	679
Adjusted Net Income (USD Mil)	353	301	467	679	944	1,304	1,834	2,524
Free Cash Flow To The Firm (USD Mil)	409	779	-896	-618	-371	-221	282	1,073
Weighted Average Diluted Shares Outstanding (Mil)	328	333	337	342	347	352	357	362
Earnings Per Share (Diluted) (USD)	-2.56	-3.89	-3.94	-2.74	-2.22	-1.53	-0.15	1.88
Adjusted Earnings Per Share (Diluted) (USD)	1.08	0.91	1.38	1.99	2.72	3.70	5.14	6.97
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 25 Feb 2026		Actual			Forecast					
	3 Year Avg	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**5 Year Avg**
Operating Margin %	-36.6	-39.0	-40.2	-30.6	-19.0	-13.8	-9.3	-3.7	2.5	-8.7
EBITDA Margin %	—	-34.7	-35.1	-25.9	-15.9	-11.7	-8.0	-2.6	3.5	—
Adjusted EBITDA Margin %	—	12.5	11.4	15.2	15.6	16.1	17.4	20.6	24.5	18.9
Net Margin %	-31.3	-29.9	-35.7	-28.4	-15.7	-10.4	-5.9	-0.5	5.1	-5.5
Adjusted Net Margin %	10.3	12.6	8.3	10.0	11.4	12.7	14.2	16.5	18.8	14.7
Free Cash Flow To The Firm Margin %	5.6	14.6	21.5	-19.1	-10.4	-5.0	-2.4	2.5	8.0	-1.5

Growth & Ratios as of 25 Feb 2026		Actual			Forecast					
	3 Year CAGR	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**5 Year CAGR**
Revenue Growth %	31.4	35.9	29.2	29.2	27.0	24.8	23.3	21.8	20.7	23.5
Operating Income Growth %	19.4	30.0	33.0	-1.5	-21.2	-9.4	-16.7	-51.9	-181.7	—
EBITDA Growth %	17.0	25.2	30.6	-4.7	-22.2	-7.7	-16.1	-60.8	-264.6	-74.3
Adjusted EBITDA Growth %	64.8	120.1	18.5	71.7	30.4	29.2	33.3	43.8	43.7	35.9
Earnings Per Share Growth %	16.3	2.2	51.7	1.4	-30.5	-18.9	-31.2	-90.2	-1356.5	—
Adjusted Earnings Per Share Growth %	16.3	279.8	-15.9	52.6	43.8	37.0	36.0	38.7	35.7	—

Valuation as of 25 Feb 2026	Actual			Forecast				
	2024	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Price/Earning	181.1	199.5	139.6	85.0	62.2	45.7	32.9	24.3
Price/Sales	18.0	18.0	12.9	9.7	7.8	6.3	5.2	4.3
Price/Book	12.4	20.1	33.8	33.2	29.7	23.6	16.6	10.9
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	134.1	149.9	83.0	61.7	47.8	35.9	24.9	17.4
EV/EBIT	-42.8	-42.6	-41.1	-50.6	-55.9	-67.1	-139.7	171.1
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 25 Feb 2026	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
ROA %	-10.2	-14.3	-14.6	-9.8	-7.7	-5.0	-0.5	4.8
ROE %	-16.2	-43.0	-69.1	-53.7	-39.0	-21.3	-1.5	12.0
ROIC %	5.0	2.8	3.3	6.7	8.1	9.3	10.8	12.9

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Debt/Capital %	0.4	4.3	—	2.7	1.2	1.1	0.0	0.0
Assets/Equity	1.6	3.0	4.7	5.5	5.1	4.2	3.1	2.5
Net Debt/EBITDA	3.7	1.5	—	1.6	3.0	3.5	11.6	-11.4
Total Debt/EBITDA	0.8	6.5	—	2.5	1.0	0.7	0.0	0.0
EBITDA/ Net Interest Expense	-1.4	-2.4	-5.8	-4.6	-4.7	-5.0	-6.4	-8.2

Forecast Revisions as of 25 Feb 2026	2027		2028		2029	
Prior data as of 3 Dec 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	223.00	193.22	—	—	—	—
Revenue (USD Mil)	5,950	4,650	7,424	5,854	9,151	7,237
Operating Income (USD Mil)	-1,131	-1,489	-1,024	-1,332	-853	-1,160
EBITDA (USD Mil)	927	617	1,198	818	1,596	1,154
Net Income (USD Mil)	679	451	944	605	1,304	910
Earnings Per Share (Diluted) (USD)	-2.74	-4.01	-2.22	-3.37	-1.53	-2.70
Adjusted Earnings Per Share (Diluted) (USD)	1.99	1.34	2.72	1.79	3.70	2.69
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 25 Feb 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	6.5
Weighted Average Cost of Capital %	9.0
Long-Run Tax Rate %	21.0
Stage II EBI Growth Rate %	15.0
Stage II Investment Rate %	22.0
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 25 Feb 2026

	USD Mil
Present Value Stage I	10,053
Present Value Stage II	22,553
Present Value Stage III	46,467
Total Firm Value	**79,073**
Cash and Equivalents	4,030
Debt	2,280
Other Adjustments	-3,871
Equity Value	**76,951**
Projected Diluted Shares	346
Fair Value per Share (USD)	**223.00**

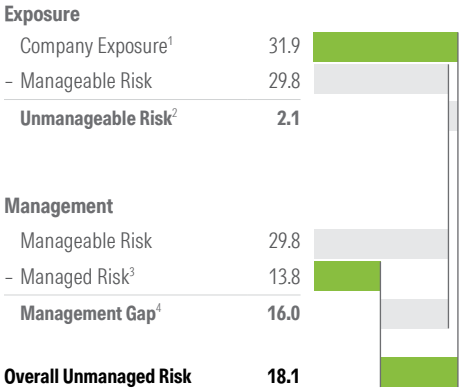
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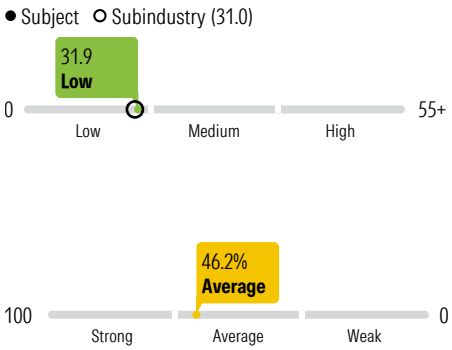
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 46.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Snowflake Inc	31.9 | Low	0	55+	46.2 | Average	100	0	18.1 | Low	0	40+
Alphabet Inc	42.8 | Medium	0	55+	57.2 | Strong	100	0	20.0 | Low	0	40+
Microsoft Corp	32.8 | Low	0	55+	60.3 | Strong	100	0	14.4 | Low	0	40+
Amazon.com Inc	34.7 | Low	0	55+	56.3 | Strong	100	0	16.6 | Low	0	40+
Varonis Systems Inc	39.4 | Medium	0	55+	30.7 | Average	100	0	28.2 | Medium	0	40+

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Appendix

Historical Morningstar Rating

Snowflake Inc Ordinary Shares SNOW 25 Feb 2026 23:01, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★	—

Microsoft Corp MSFT 25 Feb 2026 22:33, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★	★★★	★★★★

Alphabet Inc Class A GOOGL 25 Feb 2026 22:34, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★

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Amazon.com Inc AMZN 25 Feb 2026 22:34, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

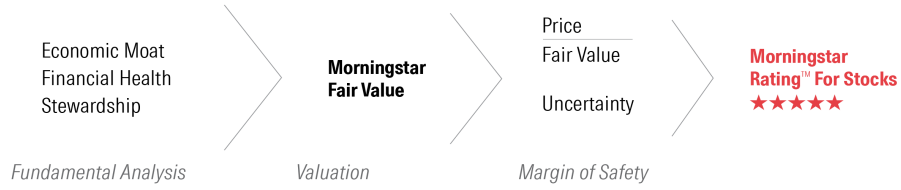
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

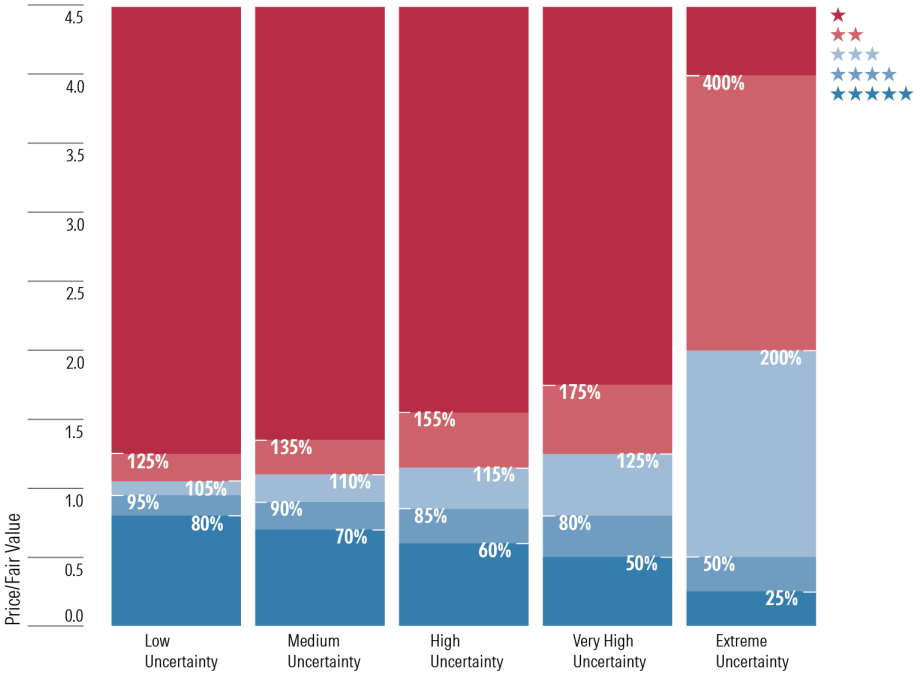
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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